

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$344.40 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,166.21B
P/E (Fwd)	28.69
P/B Ratio	9.13

ROE	31.83%
Dividend Yield	0.24%
52W Range	\$147.84 - \$349.00

Investment Thesis

Alphabet Inc. demonstrates robust financial growth with a projected revenue CAGR of 11.8% through 2027, alongside an expanding EBITDA margin reaching 51.7%. The company's EPS is on a steady upward trajectory, indicating strong profitability prospects. Despite competitive EV/EBITDA ratios, Alphabet maintains a solid position among its peers, underpinned by its comprehensive cost management and strategic revenue expansion.

Company Overview

Alphabet Inc., the parent company of Google, is a leading technology conglomerate with a diversified business model that spans various sectors of the technology industry. Alphabet's core business revolves around its search engine, Google, which is the dominant player in the internet search market. Beyond search, Alphabet has expanded its offerings to include a broad array of products and services such as digital advertising, cloud computing, consumer electronics, and a suite of online tools and platforms.

Alphabet's business model is primarily driven by advertising revenue, which is generated through its Google Ads platform. This platform allows businesses to display advertisements across Google's search results and its extensive network of partner websites. The company has also made significant inroads into the cloud computing industry with Google Cloud, which offers a range of services including data storage, analysis, and machine learning tools.

In terms of market position, Alphabet is one of the most valuable companies globally, consistently ranking among the top in terms of market capitalization. It competes with other tech giants such as Microsoft and Meta Platforms (formerly Facebook) in various domains, including digital advertising and cloud services. As per recent EBITDA figures, Alphabet is competitive with Microsoft, although Microsoft has maintained a slight lead in the cloud sector.

Recent financial performance indicates robust growth. Alphabet's revenue has seen a compound annual growth rate (CAGR) of 11.8% from 2021 to 2025, with revenues expected to continue increasing in upcoming years. The company has effectively managed its cost of operations and SG&A expenses, allowing for a healthy contribution margin that has improved from 56.9% in 2021 to an anticipated 62.7% by 2027. The EBITDA margin has also seen significant improvement, rising from 40.2% in 2021 to an expected 51.7% in 2027.

Despite fluctuations in the price-to-earnings (PE) ratio, Alphabet remains a strong performer with growing earnings per share (EPS), which have been projected to continue rising. In comparison to its peers, Alphabet's EV/EBITDA ratio suggests it is valued favorably in the market.

Overall, Alphabet's strategic focus on diversifying its revenue streams, coupled with its dominance in digital advertising and growth in cloud services, positions it well for sustained long-term growth in the evolving technological landscape.

Investment Overview

Alphabet Inc. (GOOGL) has demonstrated strong financial performance in recent years, with significant revenue growth from \$257.6 billion in 2021 to \$350.0 billion in 2024, and is projected to continue growing to \$466.4 billion by 2027. This represents a Compound Annual Growth Rate (CAGR) of 11.8%, driven by robust demand in digital advertising, cloud services, and technology innovations.

The company's contribution margin has improved from 56.9% in 2021 to 59.7% in 2025, with a forecasted increase to 62.7% by 2027, indicating enhanced efficiency and cost management. Alphabet's EBITDA has similarly shown a remarkable upward trajectory, rising from \$103.5 billion in 2021 to a projected \$241.1 billion by 2027. Notably, the EBITDA margin is expected to increase from 40.2% in 2021 to 51.7% in 2027, highlighting improved profitability.

Alphabet's EPS has also grown significantly, from \$5.69 in 2021 to a projected \$13.01 by 2027. The company maintains a competitive PE ratio, which is expected to stabilize around 24.6 by 2027, reflecting market confidence in sustained earnings growth.

In comparison with peers, Alphabet's EBITDA remains competitive, indicating strong operational efficiency. Its EV/EBITDA ratio is relatively stable, suggesting that investors value the company's earnings capacity in line with industry standards.

The outlook for Alphabet remains positive, supported by continuous innovation in AI, cloud computing, and digital advertising. The company is well-positioned to capitalize on emerging technology trends, driving future growth and shareholder value. However, potential regulatory challenges and competitive pressures are risks to monitor. Overall, Alphabet presents a compelling investment opportunity for those seeking exposure to the technology sector's growth.

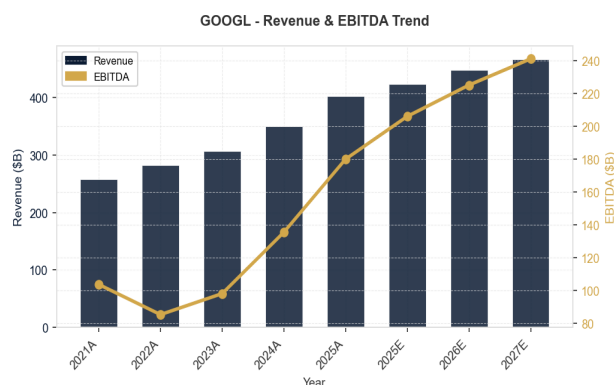
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



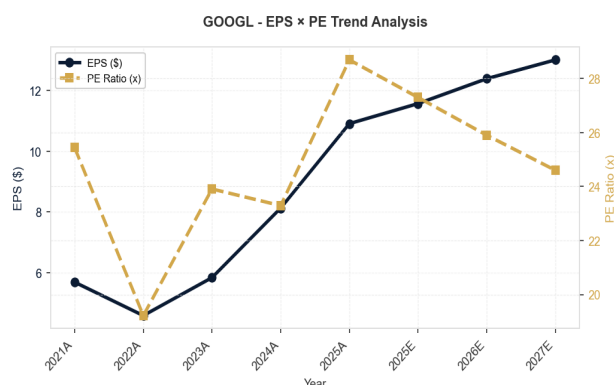
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) exhibits strong financial performance with a robust revenue trajectory, reflecting a compound annual growth rate (CAGR) of 11.8% from 2021 to 2027E. The company's EBITDA margin is projected to improve significantly from 40.2% in 2021 to 51.7% in 2027E, indicating enhanced operational efficiency and cost management.

In terms of peer comparison, Alphabet's EBITDA has shown consistent growth, outstripping peers like Meta and Microsoft in 2025, with projections reaching \$179.96 billion compared to Meta's \$104.55 billion and Microsoft's \$160.17 billion. This reflects Alphabet's strong market position and ability to capitalize on growth opportunities in its core and adjacent markets.

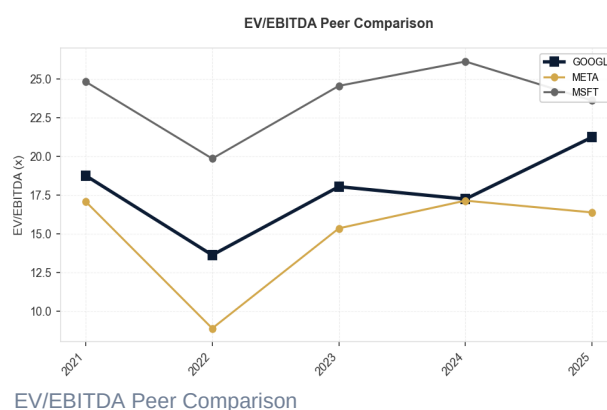
Valuation metrics, particularly the PE ratio, suggest that Alphabet is fairly priced relative to its earnings growth. The PE ratio is anticipated to trend downwards from 28.69 in 2025A to 24.6 in 2027E, indicating potential for price appreciation as earnings per share (EPS) are expected to grow.

The EV/EBITDA ratio for Alphabet is comparatively favorable. In 2023, Alphabet's EV/EBITDA stands at 18.04, which is competitive with Meta but below Microsoft's 24.54, suggesting room for upward valuation adjustment as Alphabet continues to leverage its scale and innovation.

Overall, Alphabet's fair value assessment remains positive, underpinned by strong revenue growth, expanding margins, and competitive positioning within the tech sector. The company's ongoing investment in technology and infrastructure, coupled with efficient cost management, supports a favorable long-term outlook. This positions Alphabet as an attractive investment opportunity, potentially outperforming its peers in terms of growth and value creation.

Peer Comparison

Year	GOOGL	META	MSFT
2021	18.76	17.08	24.81
2022	13.63	8.90	19.85
2023	18.04	15.35	24.54
2024	17.24	17.14	26.11
2025	21.23	16.38	23.60



Recent News & Events

News Summary

Recent developments in Alphabet Inc. (GOOGL) and its broader market context highlight significant upcoming events and strategic shifts. Alphabet is set to report its earnings alongside major tech players such as Amazon, Microsoft, and Meta, coinciding with Jerome Powell's final Fed meeting. This confluence of events has the potential to impact market dynamics significantly, with analysts predicting Alphabet's shares could reach new highs post-results.

Alphabet's financial performance shows robust growth, with a revenue compound annual growth rate (CAGR) of 11.8% from 2021 to 2025. Its EBITDA margin is also projected to increase from 31.9% in 2023 to 51.7% by 2027, indicating stronger profitability. This financial strength is further underscored by Alphabet's strategic pivot towards enterprise AI, as evidenced by recent product launches like Workspace Intelligence and Gemini Enterprise at Google Cloud Next26. These moves are part of the company's aggressive push into AI, positioning it well for

sustained growth amid increasing competition.

Investment implications are notable. Analysts remain bullish on Alphabet, with positive momentum and updated stock price targets reflecting confidence in the company's potential. The broader sentiment in the tech sector shows undervaluation, as identified by Morningstar, suggesting potential opportunities for investors looking to capitalize on the volatility induced by AI disruptions.

Retail sentiment indicates mixed feelings, with buzz levels high across platforms but a declining trend in mentions, suggesting cautious optimism among retail investors. Meanwhile, Alphabet's strategic investments in AI infrastructure align with broader industry trends, where tech giants are heavily investing in AI to drive future growth.

Overall, Alphabet's strategic focus on AI and its strong financial outlook make it a compelling consideration for investors, especially as it navigates the evolving technological landscape.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-26): Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-25): Wall Street analyst updates Google stock price target
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-25): Alphabet Is Getting Ready For War
- Impact: MEDIUM, Probability: 70%
- Regulatory (2026-04-25): What Thousands of Messages Reveal About First AI-Suicide Lawsuit Against Gemini
- Impact: HIGH, Probability: 50%
- Market (2026-04-25): Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
- Impact: LOW, Probability: 50%

Risk Factors (Downside Risks)

- Regulatory (2026-04-23): Brazil regulator approves deeper probe into Google's news content use
- Impact: HIGH, Probability: 50%

Events to Monitor

- Is Alphabet Stock a Buy Ahead of Earnings? (2026-04-25)
- Google Cloud Next 2026 Event Bets Big on AI Infrastructure (2026-04-25)
- Mag 7 Earnings Take the Spotlight: What to Expect (2026-04-24)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- ✓ Wall Street analyst updates Google stock price target
- ✓ Alphabet Is Getting Ready For War
- ✓ What Thousands of Messages Reveal About First AI-Suicide Lawsuit Against Gemini

- ✓ Meet the Biggest Threat to Nvidia in AI Chips. It's Not AMD, Intel, or Broadcom.
- ✓ Google Doubles Down on Anthropic With New \$40 Billion Investment
- ✓ 4 Internet Stocks Poised to Top Estimates This Earnings Season
- ✓ Q1 Earning Preview: Is Alphabet Overspending? A Painful Lesson From Meta And Intel
- ✓ Alphabet Expands AI Partnerships to Boost Cloud Growth
- ✓ Google's Enterprise AI Push Gains Teeth, Analysts See Cloud Upside
- ✓ Alphabet Q1 Preview: Why The \$4 Trillion Market Cap Still Offers Some Value
- ✓ Alphabet set to report modest beat for Q1 driven by AI, Cloud growth

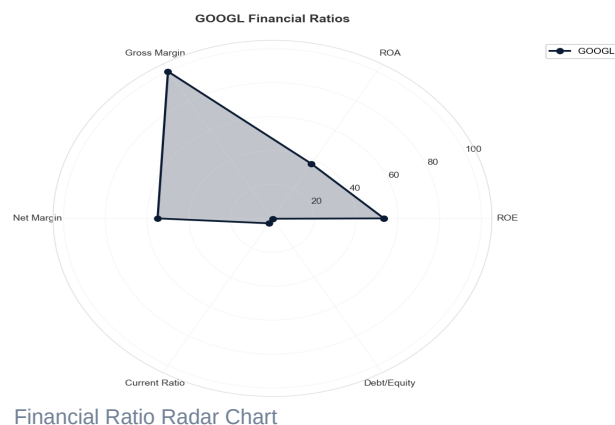
Risk Factors:

- Brazil regulator approves deeper probe into Google's news content use

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Alphabet Inc. (GOOGL) stands as a formidable player in the tech industry, with its financial metrics reflecting robust growth and profitability. Comparing Alphabet to its key competitors—Meta Platforms Inc. (META) and Microsoft Corporation (MSFT)—reveals several insights into its competitive positioning.

Alphabet's revenue has been growing at a compound annual growth rate (CAGR) of 11.8%, reflecting a healthy expansion trajectory. This growth is driven by its core businesses, including search and advertising, which continue to perform strongly. In terms of EBITDA, Alphabet shows a significant improvement from \$103.5 billion in 2021 to a projected \$179.9 billion in 2025, indicating strong operational performance and effective cost management. This positions Alphabet favorably against Microsoft, which also demonstrates strong EBITDA growth but from a slightly higher base, and Meta, which trails behind in EBITDA figures.

In terms of profitability, Alphabet's EBITDA margins are set to improve significantly, from 40.2% in 2021 to an estimated 51.7% by 2027. This improvement suggests a focus on increasing efficiency and scaling operations effectively, outpacing Meta's margins, which remain lower. Microsoft's margins are competitive, but Alphabet's trajectory indicates a closing gap.

The EV/EBITDA ratios highlight Alphabet's valuation in comparison to its earnings before interest, taxes, depreciation, and amortization. Alphabet's EV/EBITDA fluctuates, peaking in 2025, yet remains competitive with Microsoft's, which is generally higher, indicating that investors might perceive Alphabet as offering better growth potential relative to its current earnings.

Overall, Alphabet's financial metrics position it competitively within the tech industry, with strong revenue growth, improving profitability, and a reasonable valuation. It maintains a solid position relative to Microsoft and Meta, with a promising trajectory in both operational performance and market perception.

Risk Factors

- Revenue Growth Uncertainty: While revenue growth has been robust historically (11.8% CAGR), the projected growth rates decline to 5.0% in 2025E and 4.0% in 2027E, indicating potential market saturation or increased competition affecting future performance.
- Volatile EBITDA Margin: The EBITDA margin fluctuated significantly from 40.2% in 2021 to 30.1% in 2022 and is projected to rise to 51.7% by 2027E. This volatility suggests operational challenges or competitive pressures that could impact profitability.
- Competitive Pressure: Alphabet's EBITDA is consistently strong but faces competition from peers like Microsoft, whose 2025 EBITDA is projected to be higher. This indicates potential competitive threats that could impact Alphabet's market share and profitability.
- Valuation Concerns: The PE ratio is projected to decrease from 28.69 in 2025A to 24.6 in 2027E, which may imply investor concerns about future growth prospects or overvaluation relative to historical earnings performance.
- Cost Management Risks: Despite a growing revenue base, the cost of operations and SG&A; expenses remain significant. Any inability to control these costs effectively could compress margins and impact net profitability.

Key Takeaways

- ✓ Revenue Growth: Alphabet Inc.'s revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: Alphabet Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ SG&A; Expense Margin: Alphabet Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ EBITDA Margin Stability: Alphabet Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B

SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

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Data Source: FMP, Company Filings, AI4Finance Estimates

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